IRA Portfolio Investment Coverage

Initiation Review Summary

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v1.0

CONFIDENTIAL — SELF-DIRECTED IRA GOVERNANCE

1. Context and Purpose

This summary records the completion of the founding initiation cycle for the Investment Coverage Universe — the structured research system governing both self-directed IRAs (SPF IRA, Fidelity account 9179; Pat IRA, Fidelity account 6209). Over the course of this review, I initiated coverage on all 35 active positions across both accounts, excluding the pre-existing BRK/B memo. Each position now has a founding research memo in Notion, a stated analytical stance, and documented key signals for quarterly monitoring.

The purpose of this document is to provide a board-level summary of the coverage state as of initiation — what I own, what I think of it, and what requires action. It is not a performance report. It is a governance checkpoint: the first structured record of my investment rationale across the full portfolio.

2. Coverage State — 35 Positions

The table below captures every active position across both accounts. Stances are analytic judgments, not buy or sell recommendations in the regulatory sense. Green shading indicates positions where accumulation within IPS bounds is appropriate. Red shading indicates active transition holdings earmarked for elimination. Amber indicates positions requiring a deliberate decision before any action is taken.

Account	Layer	Ticker	Stance	Key Signal / Monitoring Priority
SPF IRA	**A**	**BRK/B**	**HOLD**	Pre-existing; soft limit 30%, hard limit 38%; monitor concentration quarterly
SPF IRA	**A**	**LRCX**	**HOLD**	Semicon cluster cap (LRCX + SMH ≤20%); add below ~$150 on tariff-driven dislocation
SPF IRA	**A**	**CHKP**	**HOLD**	Calculated billings +20% YoY is the primary thesis signal
SPF IRA	**A**	**BUD**	**HOLD**	Leverage 2.87x; size cap — do not add until net debt/EBITDA ≤2.5x
SPF IRA	**A**	**ARCB**	**HOLD**	LTL cycle turn thesis; Asset-Based OR below 93% is the add signal; Layer A/B classification to review
SPF IRA	**A**	**GSL**	**HOLD**	DRIP compounding; 2027 re-charter rollover is the key risk; up 86%
SPF IRA	**B**	**RIO**	**HOLD — Legacy**	Former executive hold; copper EBITDA doubled in FY2025; IPS indefinite hold
SPF IRA	**B**	**BHP**	**HOLD — Legacy**	Former executive hold; copper now >50% of EBITDA — historic milestone; IPS indefinite hold
SPF IRA	**B**	**ETN**	**HOLD**	Drawdown is valuation compression only; business at record margins; add below ~$290
SPF IRA	**B**	**CTVA**	**HOLD**	Up 50%; separation into 2 companies H2 2026 — mandatory IPS review required
SPF IRA	**B**	**DKS**	**HOLD**	Foot Locker integration risk; confirm combined leverage at next quarterly
SPF IRA	**B**	**GASS**	**HOLD**	Debt-free; $110M cash; watch management's capital deployment decision
SPF IRA	**B**	**TOST**	**HOLD**	Best performer in portfolio (+148%); $633M adj. EBITDA in FY2025; thesis executing
SPF IRA	**C**	**SCHD**	**HOLD / ADD**	Primary income anchor both accounts; Pat IRA 25–30% target; hard limit 30%
SPF IRA	**C**	**SPHQ**	**HOLD / ADD**	Quality factor both accounts; Pat IRA 15–20% target; VONG excluded from Pat IRA by design
SPF IRA	**C**	**VYM**	**HOLD / ADD**	Broad dividend complement; Pat IRA 10–15% target; introduced last in Pat IRA transition

Account	Layer	Ticker	Stance	Key Signal / Monitoring Priority
SPF IRA	C	VIGI	HOLD / ADD	International dividend growth; Pat IRA 8–12% target
SPF IRA	C	SGOV	HOLD	Liquidity vehicle both accounts; Pat IRA: SGOV + AGG ≥8% floor — never broken
SPF IRA	C	VONG	HOLD / ADD	Growth factor SPF IRA only — household factor differentiation, documented IPS decision
SPF IRA	C	EFG	HOLD	International growth component; specific metrics to confirm at first quarterly
SPF IRA	C	SCHY	HOLD / ADD	International analogue to SCHD; quality-screened international dividend income
SPF IRA	C	SMH	HOLD	⚠️ Semiconductor cluster: LRCX + SMH combined must stay below 15–20% — calculate now
SPF IRA	D	NG	HOLD	500 shares @ $3.00, up 226%; Donlin BFS advancing; Paulson acquired Barrick's stake
SPF IRA	D	SIG	HOLD	FY2026 comps turned positive; lab-grown diamond structural disruption is the watch
SPF IRA	D	VTRLY	HOLD	FX headwinds transient; IVF cycle thesis intact; limit orders required on exit
Pat IRA	C	AGG	HOLD / ADD	Core fixed income; 8–12% target; ⚠️ SGOV + AGG ≥8% floor — never broken
Pat IRA	C	VEA	HOLD / ADD	Core intl developed; 5–8% target; VEA +27% in 2025
Pat IRA	C	VO	IPS REVIEW	19.3% of Pat IRA; not in written target state; decision needed: retain or wind down
Pat IRA	C	BAGIX	SELL — Ph1	Active bond duplicate of AGG at higher cost; redeploy to AGG
Pat IRA	C	CCALX	SELL — Ph1	Highest priority; 0.99% ER active REIT fund; redeploy to SCHD/SPHQ
Pat IRA	C	CIVIX	SELL — Ph2	Active intl value; ETF replacement: VEA + VIGI
Pat IRA	C	GLIFX	SELL — Ph2/3	Active global infrastructure fund; not in target state
Pat IRA	C	VSOIX	SELL — Ph2/3	Active small-cap; inconsistent with Pat's conservative posture
Pat IRA	C	VWILX	⚠️ DECIDE	Baillie Gifford; +270bps alpha/yr over 15 years; Morningstar Silver — deliberate IPS decision required

3. Portfolio Observations

Three positions stand out as significant developments since the last structured review. **TOST** (Toast Inc.) is the portfolio's best-performing individual stock at +148%, having entered a period of profitable scaling — FY2025 delivered $633M in adjusted EBITDA and $608M in free cash flow from a position established at $14.66 in November 2023. **NG** (NovaGold) represents asymmetric gold optionality at a $3.00 average cost, now up 226%, following the transformational June 2025 transaction in which Paulson & Co. acquired Barrick's 50% stake at a $2 billion project valuation for Donlin Gold. **BHP** recorded a historic earnings milestone in H1 FY2026: copper overtook iron ore as the largest earnings contributor for the first time, at 51% of underlying EBITDA — validating the energy-transition metals thesis on which both BHP and RIO are held as legacy positions.

The ETF spine is functioning as designed. The quality factor (SPHQ) has outperformed the broader S&P 500 by +7.45% year-to-date as of March 2026, consistent with the factor's historical behavior in risk-off conditions. SCHD continues to anchor both income strategies. The deliberate exclusion of VONG from Pat IRA — preserving household-level factor differentiation — remains the correct design choice.

The Pat IRA transition is in progress. Of the six active funds earmarked for elimination, BAGIX and CCALX are Phase 1 priorities. VWILX is the sole exception that warrants a deliberate decision rather than automatic elimination — Baillie Gifford has generated +270 basis points of annual alpha over 15 years against the MSCI ACWI ex USA Growth benchmark, and carries a Morningstar Silver rating. The ETF-only rule is sound as a general discipline; whether it should hold a documented exception for this specific fund is a judgment call I have not yet made.

Two structural flags were raised during the initiation process. First, VO (Vanguard Mid-Cap ETF) represents 19.3% of Pat IRA and is not written into the IPS target state — the position originated with the Mariner GPS allocation and has not been formally adjudicated. At that weight it is significantly overweight regardless of the eventual strategic decision. Second, CTVA (Corteva Agriscience) will split into two publicly traded companies in H2 2026; both resulting positions will require new IPS memos and classification before separation closes.

4. Actions Required

The following six actions require resolution before the next quarterly update. The first two are time-sensitive decision points that should not drift.

Action	Timing	Detail
VWILX — deliberate IPS decision required	Immediate	Retain (document as exception to ETF-only rule) or sell and redeploy to VEA + VIGI. Either is defensible; the decision must be explicit, not by default.
VO — IPS target state resolution	Next IPS review	At 19.3% of Pat IRA it is significantly overweight regardless of the strategic decision. Decide: add VO to target state or schedule wind-down.
Semiconductor cluster — calculate now	Before adding	Calculate LRCX + SMH combined weight against current prices. IPS soft cap 15%; hard cap 20%. Do not add to either position without this check.
CTVA — calendar IPS review for H2 2026	H2 2026	Separation of Corteva into New Corteva (crop protection) and SpinCo (seed/Pioneer) expected to close H2 2026. Both resulting positions need new IPS memos and classification.
DKS — confirm combined leverage	Next quarterly	Foot Locker acquisition adds leverage. Combined net debt/EBITDA has not been confirmed. Quantify before any add decision.
Pat IRA Phase 1 — execute BAGIX + CCALX sales	Q2 2026	Both are active funds with no place in the ETF-only target state. CCALX at 0.99% ER is the highest-cost holding in the household. Execute sales and redeploy to AGG, SCHD, or SPHQ depending on allocation needs at time of execution.

5. Mariner GPS Coordination

Per the standing annual action in both IPS documents, Mariner GPS should be notified of current self-directed account balances and allocations in both IRAs — SPF IRA (Fidelity 9179, ~$232K) and Pat IRA (Fidelity 6209, ~$425K) — so the household-level view in their reporting reflects the complete picture. The BHP position held in Trust 2384 continues on the Mariner-managed multi-year selldown plan and is separately governed. No coordination action is required on that position from this review.

Version History

Version	Date	Author	Description
v1.0	27 Mar 2026	S. Felice	Initial publication — full coverage initiation and 1Q2026 quarterly review completed